Ushering in Change

After he demitted office as chairman, Tata Sons, Ratan spent more time focusing on the affairs of the Trusts. One important decision he took was to employ Bridgespan Group in 2014 as a consultant of Tata Trusts. His main objective was to validate some of the approaches the Trusts were planning to embrace to increase their efficiency and render the assistance more meaningful and enduring.

One of the recommendations of the consultants was for the Trusts to be more involved in their projects. Until then it was usual to assign the responsibility of implementing the programmes to the various grantees. This was replaced by a more direct involvement of the Trusts in the operational aspects. The Trusts would now be involved 'in a more focussed, integrated and hands-on manner' to 'maximise the benefits' to the target group, says Ratan. 'We had different ways of doing things. Now we are trying to integrate that; not deprive the trusts of their autonomy but saying, "Let's get together and see what can lead to the greatest gains".'

In an interview in 2016, Ratan referred to the report submitted by Bridgespan and said that the consultant had not suggested a 'radically different approach', but that it had brought 'some order' in the working of the Trusts. It helped the Trusts define a 'particular philanthropic portfolio into different pockets'. Bridgespan also recommended 'delegating authority to speed up the process of allocating resources for grant-making'.

Each trust now actively engages in the projects they sponsor, either managing them on their own or in collaboration with NGOs, but not with the latter alone. This approach was adopted as in several cases, even after many years of support, the system and the organization collapsed once the funding ceased. It led Ratan to make changes to ensure that communities become sustainable as, he says, they do not require 'handouts—they need prosperity and dignity'.

He illustrated this saying that if a coastal community that is dependent on paddy continues to be below the poverty line, despite the assistance that is given to them, then there is a compelling 'need to introduce an additional, new livelihood activity, whether they ask for it or not. You should try to get them to do that to make the entire initiative sustainable.'

Taking a holistic approach, the Trusts, besides providing funds, extend operational support either on their own or in conjunction with other